

▶ A QUARTER CENTURY is a long time for policy. It's no different in the case of the big bang opening up of India's state-controlled insurance industry in 2000. Two deals serve as book-ends for that phase.

Almost 25 years to the day when the Bajaj group, famous for its two-wheelers, formed a joint venture with German insurance giant Allianz, the two companies decided to part ways, in a development that points to a new phase for the sector.

Bajaj Allianz's journey was emblematic of the heady initial years of liberalisation in the space, coming less than a decade after the country opened itself up to foreign investments and decided to loosen the government's grip on various sectors. As an initial move, accepting the recommendations of a commission set up to look into the space, the central government allowed private sector participation and 26% foreign direct investment (FDI) in insurance in 2000. Till then, the landscape was dominated by the Life Insurance Corporation of India on the life insurance side and four public sector insurers on the general insurance side.

Bajaj and Allianz launched not one, but two ventures: Bajaj Allianz Life Insurance and Bajaj Allianz General Insurance. For almost a quarter century, it appeared to be a partnership that had stood the test of time.

But there were rumblings underneath the surface, even though there were no public disagreements. Reports suggested that Allianz made several attempts to increase its stake in the ventures at discounted valuations, which did not materialise.

In March, Allianz decided to exit both ventures, selling its 26% stake back to Bajaj Finserv at a valuation of over ₹24,000 crore, making it the largest deal in the insurance industry.

This is not an isolated case. Over the years, several foreign insurers have exited their Indian JVs. In 2012, New York Life sold its 26% stake in Max New York Life to Japan's Mitsui Sumitomo for ₹2,731 crore. AXA exited both Bharti AXA General and Life Insurance, with the general business merging into ICICI Lombard and Bharti Life Ventures acquiring full ownership of the life arm.

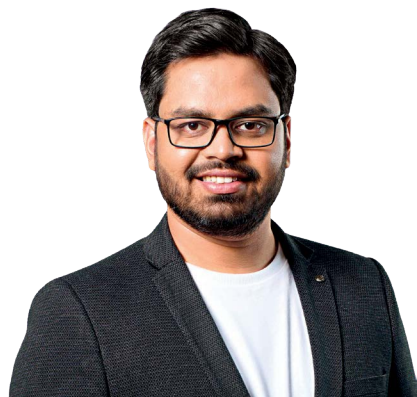
And yet, for every exit, there are more foreign firms waiting to enter the market, lured by the limitless potential of a market of over a billion people where insurance penetration is painfully low.

"There have been many exits in the past, and in each case, the Indian company has thrived and found its own path. The exit per se should not have a material impact, especially as the exiting shareholder has indicated its continued commitment to the Indian market," says S. Sreenivasan, President-Insurance & Special Projects, Bajaj Finserv Ltd.

Indeed, many hope that the Indian government's decision in the Union Budget of 2025-26 to allow 100% FDI in the sector marks the beginning of a new wave of growth. Mergers and acquisitions (M&As) are expected to gain pace in this phase and intensified competition is seen to be the dominant theme.

Even the public sector Life Insurance Corporation

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“WHEN FDI WAS INCREASED FROM 49% TO 74%, IT LED TO LIMITED MOVEMENT. SO, IT'S UNCLEAR WHETHER RAISING IT TO 100% WILL BRING A BIG SHIFT. BUT IT'S A POSITIVE STEP DIRECTIONALLY”

ANIMESH DAS CEO, ACKO GENERAL INSURANCE